

Big Company does decline in value, I know I won't be the only one caught by surprise—and with so many savvy professionals sharing my predicament, I could hardly blame myself for excessively poor judgment.

- b. I will most likely invest in Big Company because if I invested in Small Company and my investment failed, I would feel like a fool. Few well-known investors backed Small Company, and I would really regret going against their informed consensus only to discover that I was dead wrong.
- c. I would basically feel indifferent between the two investments, since both generated the same expected parameters for risk and return.

Test Result Analysis

Questions 1, 2, and 3: People answering “a” or “b” to any question may harbor susceptibility to regret aversion bias.

ADVICE

This section is organized to address each of the pitfalls of regret aversion bias that are enumerated in the feature box.

Investing too conservatively. No matter how many times an investor has been “burned” by an ultimately unprofitable investment, risk (in the context of proper diversification) is still a healthy ingredient in any portfolio. Demonstrating to clients the long-term benefits of adding risky assets to a portfolio is essential. Efficient frontier research can be very helpful here. Investing too conservatively doesn't place an investor's assets in any acute danger—by definition, an excess of conservatism denotes a relative absence of risk. However, refusing to assume a risk often means forgoing a potential reward. Investors who swear off risky assets due to regret aversion may see less growth in their portfolios than they could otherwise achieve, and they might not reach their investment goals.

Staying out of the market after a loss. There is no principle more fundamental in securities trading than “buy low, sell high.” Nonetheless, many investors' behavior completely ignores this directive. Again, human nature is to chase returns, following “hot” money. Of course, it is possible to profit from following market trends... the